

MACRO IMPULSE

Hawkish lean
Composite score +0.46

SELL-OFF RISK

Medium
Faster/higher hikes risk 2.8/5

RALLY RISK

Low/Medium
Cuts priced back / hikes reduced 2.3/5

FRONT REPRICING

+7.2bp
Avg of front tenors and forwards

LARGEST TENOR

2y1y +17bp
Largest absolute selected move

Macro impulse by driver

Left = rally/cuts pressure. Right = sell-off/hike pressure.

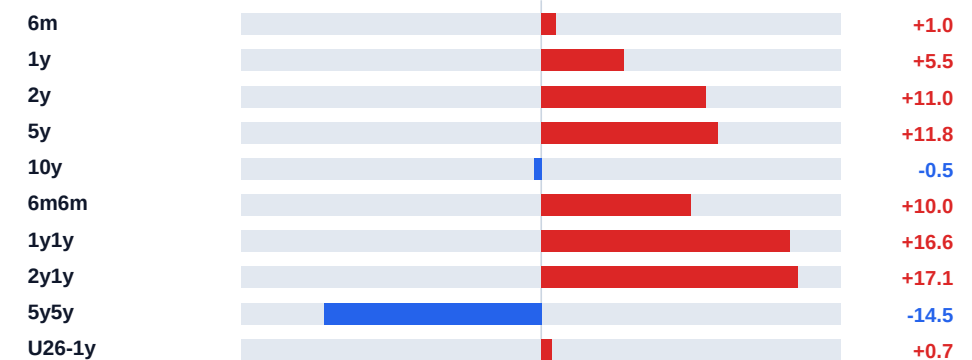


What defines it now

Hawkish lean. Dominant drivers: External/Liquidity +0.7, Growth/Activity +0.9, Labour -0.7.

Rates / bond repricing ladder

bp move since 25Feb26. Positive = rates sold off / hikes priced.



Front avg +7.2bp | Belly +13.0bp | Long -2.4bp

Decision panel

Sell-off bias

Pay / avoid receiving 2y1y +17bp, 1y1y +17bp while external/liquidity keeps surprising firm.

Data arguing for sell-off / faster hikes

- 21 Apr Export Orders YoY: 65.9 vs 44.0 survey (hawkish, score +3.0)
- 09 Jun Imports YoY: 54.9 vs 40.3 survey (hawkish, score +3.0)
- 30 Apr GDP YoY: 13.7 vs 11.3 survey (hawkish, score +2.3)

Data arguing for rally / cuts back in

- 23 Apr Unemployment Rate: 3.35 vs 3.30 survey (dovish, score -2.9)
- 08 Apr CPI YoY: 1.20 vs 1.60 survey (dovish, score -2.4)
- 26 May Industrial Production YoY: 14.2 vs 19.2 survey (dovish, score -1.6)

Snapshot: 12 indicators defining TWD now

Selection prioritizes recency, relevance, diversity of drivers and size of surprise/trend.

Date	Driver	Indicator	Actual	Survey	Prior	Read
09 Jun	External/Liquidity	Exports YoY	51.7	41.1	39.0	Hawkish +1.9
09 Jun	External/Liquidity	Imports YoY	54.9	40.3	29.2	Hawkish +3.0
05 Jun	Inflation/Wages	CPI YoY	2.20	2.12	1.74	Hawkish +0.7
05 Jun	Inflation/Wages	PPI YoY	14.1	NA	8.54	Hawkish +1.5
01 Jun	Surveys	S&P Global Taiwan PMI Mfg	56.1	NA	55.3	Hawkish +0.8
26 May	Growth/Activity	Industrial Production YoY	14.2	19.2	28.7	Dovish -1.6
22 May	Housing/Credit	Money Supply M2 Daily Avg YoY	6.45	NA	5.79	Hawkish +0.3
22 May	Housing/Credit	Money Supply M1B Daily Avg YoY	8.25	NA	7.83	Neutral +0.2
30 Apr	Growth/Activity	GDP YoY	13.7	11.3	12.7	Hawkish +2.3
23 Apr	Labour	Unemployment Rate	3.35	3.30	3.33	Dovish -2.9
21 Apr	External/Liquidity	Export Orders YoY	65.9	44.0	23.8	Hawkish +3.0
19 Mar	Policy/Fiscal	CBC Benchmark Interest Rate	2.00	2.00	2.00	Neutral +0.0

Read: hawkish = stronger/hotter data or lower unemployment; dovish = weaker/cooler data or higher unemployment. When no survey exists, read uses actual versus prior with lower weight.

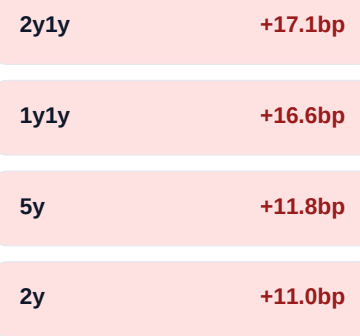
Indicator balance



Dovish 11 Neutral 7 Hawkish 28

Most important driver:
External/Liquidity (+0.71).

Tenors to track



Interpretation

Pay / avoid receiving 2y1y +17bp, 1y1y +17bp while external/liquidity keeps surprising firm.

Indicator web: what to watch and where it should hit the curve

Use this as the monitoring map. Each box links a data driver to the rate tenors most likely to move.

External/Liquidity

+0.71

Track: Exports YoY; Imports YoY

Sell-off: Exports/reserves/current account beat.

Rally: Trade/reserves/current account deteriorate.

Tenor focus: 2y1y, 5y, 10y

Growth/Activity

+0.91

Track: Industrial Production YoY; GDP YoY

Sell-off: GDP/IP/production beats; output momentum holds.

Rally: GDP/IP/production misses; slowdown broadens.

Tenor focus: 2y, 2y1y, 5y

Labour

-0.69

Track: Unemployment Rate

Sell-off: Payrolls/jobs beat or unemployment falls.

Rally: Employment misses or unemployment rises.

Tenor focus: 1y, 2y, 1y1y

Surveys

+0.69

Track: S&P Global Taiwan PMI Mfg; Monitoring Indicator

Sell-off: PMI/sentiment rebounds above 50 or beats.

Rally: PMI/sentiment drops, especially below 50.

Tenor focus: 6m6m, 1y1y

Inflation/Wages

-0.08

Track: CPI YoY; PPI YoY

Sell-off: Hot CPI/PPI/wages versus survey or prior.

Rally: Cool CPI/PPI/wages; oil relief passes through.

Tenor focus: 6m, 1y, 6m6m

Housing/Credit

+0.23

Track: Money Supply M2 Daily Avg YoY; Money Supply M1B Daily Avg YoY

Sell-off: Credit/property/money growth accelerates.

Rally: Credit/property weakens; money growth fades.

Tenor focus: 2y, 5y, 1y1y

Policy/Fiscal

+0.00

Track: CBC Benchmark Interest Rate

Sell-off: Policy stays tight or fiscal impulse expands.

Rally: Rate cuts, dovish guidance or fiscal drag.

Tenor focus: 6m, 1y, IMM 1Y